

Stock Exchange

Stock exchange is an institution for orderly buying and selling of listed securities. Listed securities means the securities accepted to be traded in stock exchanges.

Over The Counter Exchange

Over the counter exchange is a platform for trading in securities that are not 'listed' on a recognised Stock exchange.

Trading Process

The trading of shares in stock exchanges is mediated by stock broking companies. Both buyer and seller have to approach a broker. **Brokers** are registered members with stock exchanges to trade on behalf of clients. **Sub-brokers** are trading persons affiliated with brokers. They act like branches to brokers. They are subject to SEBI guidelines.

The types of trading are different based on time. In **Cash trading,** the sale and purchase of securities takes place in the prevailing price on the day of trading. In **Forward trading,** both buyer and seller agree to buy and sell respectively at a future date at a pre-agreed price, irrespective of the price that prevails on the day of trade. There are two types of forward trade. One is **Futures** and another one is **Options**. Though both are forward trade methods, there is a slight difference. In case of Futures, both buyer and seller have to execute the agreement. In case of Options, the buyer or seller can withdraw